



TPS Eastern Africa Limited

Registered Office

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30th July, 2014

The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road
P.O. Box 74800 00200
NAIROBI.



Dear Sir,

Re: Director Appointment – Mr. Mahmood Pyarali Manji

The above subject matter refers.

This is to advise you that Mr. Mahmood Pyarali Manji has been appointed as a director of TPS Eastern Africa Limited. Mr. Manji, a Kenyan national was appointed on 30th July, 2014.

Yours faithfully,
TPS Eastern Africa Limited

Dominic Ng'ang'a
Company Secretary E.A

Cc. The Chief Executive, Nairobi Securities Exchange



TPS EASTERN AFRICA LIMITED

UNAUDITED CONSOLIDATED RESULTS FOR THE HALF-YEAR ENDED 30th JUNE 2014

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the unaudited results and financial statements for the half-year ended 30th June 2014

CONSOLIDATED SUMMARISED INCOME STATEMENT

	Six months to 30-Jun-14 Shs'000	Six months to 30-Jun-13 Shs'000
Sales	2,711,993	2,921,193
Profit before exchange loss, interest, depreciation and taxation	335,441	486,343
Exchange loss on foreign currency loans	(14,530)	(5,192)
Net interest cost	(56,239)	(81,482)
Depreciation on property, plant and equipment	(206,425)	(194,590)
Profit before income tax	58,247	205,079
Income tax expense	(16,772)	(64,002)
Profit after taxation	41,475	141,077
Attributable to:		
Equity holders of the Company	23,931	125,259
Non-controlling interest	17,544	15,818
	41,475	141,077
Earnings per share for profit attributable to the equity holders of the Company		
- basic (Shs per share)	0.13	0.69
Weighted average number of shares (000s)	182,174	182,174

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Six months to 30-Jun-14 Shs'000	Six months to 30-Jun-13 Shs'000
Profit after taxation	41,475	141,077
Other comprehensive income: Items net of tax		
Currency translation differences	(70,537)	(34,999)
Total comprehensive (loss)/ income	(29,062)	106,078
Attributable to:		
Equity holders of the Company	(46,606)	90,260
Non-controlling interest	17,544	15,818
	(29,062)	106,078

SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30-Jun-14 Shs'000	30-Jun-13 Shs'000
CAPITAL EMPLOYED		
Equity	10,910,741	10,220,712
Non-current liabilities	3,048,301	3,253,971
	13,959,042	13,474,683
REPRESENTED BY		
Non-current assets	13,775,015	13,647,308
Net current assets	184,027	(172,625)
	13,959,042	13,474,683

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2013	148,211	3,032,431	2,370,118	2,638,137	192,674	(256,921)	56,760	8,181,410
Comprehensive income for the period								
Profit for the period	-	-	-	125,259	-	-	15,818	141,077
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	(34,999)	-	(34,999)
Total other comprehensive income	-	-	-	-	-	(34,999)		(34,999)
Total comprehensive income for the period	-	-	-	125,259	-	(34,999)	15,818	106,078
Transaction with owners								
Issue of shares	33,963	1,360,237	-	-	-	-	638,548	2,032,748
Dividends:								
- final for 2012 partly paid	-	-	-	-	(99,524)	-	-	(99,524)
At 30th June 2013	182,174	4,392,668	2,370,118	2,763,396	93,150	(291,920)	711,126	10,220,712

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2014	182,174	4,392,668	2,339,823	3,051,440	245,935	(159,176)	979,413	11,032,277
Comprehensive income for the period								
Profit for the period	-	-	-	23,931	-	-	17,544	41,475
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	(70,537)	-	(70,537)
Total other comprehensive income	-	-	-	-	-	(70,537)		(70,537)
Total comprehensive income/(loss) for the period	-	-	-	23,931	-	(70,537)	17,544	(29,062)
Transaction with owners								
Dividends:								
- final for 2013 partly paid	-	-	-	-	(92,474)	-	-	(92,474)
At 30th June 2014	182,174	4,392,668	2,339,823	3,075,371	153,461	(229,713)	996,957	10,910,741

SUMMARISED CONSOLIDATED STATEMENT OF CASH FLOWS

	Six months to 30-Jun-14 Shs'000	Six months to 30-Jun-13 Shs'000
Net cash generated from operating activities	305,103	280,888
Net cash used in investing activities	(330,621)	(1,705,599)
Net cash from financing activities	25,870	1,190,864
Increase/(decrease) in cash and cash equivalents	352	(233,847)
Movement in cash and cash equivalents		
At start of period	(118,471)	47,650
Effects of currency translation differences	10,009	(1,550)
Increase/(decrease) in cash and cash equivalents	352	(233,847)
At end of period	(108,110)	(187,747)

Commentary

The Group faced a challenging business landscape in Kenya during the first half of year 2014, as foreign leisure and to a lesser extent, corporate business segments took a cautious approach due to the elevated travel advisories and other forms of security alerts issued by governments of main source markets. The advisories, coupled with the negative international media reports since year 2013 was due to a number of events. Among these events were the following: uncertain political environment due to elections; the Westgate Mall ordeal; poaching menace and; the terrorist threats and local security incidents which have cumulatively led to a significant slowdown in new leisure bookings and withdrawal of Charter flights to Kenya. The recent introduction of Value Added Tax (VAT) on Tourism services and park fees made destination Kenya uncompetitive relative to the other safari destinations. The Kenya Coast is currently experiencing an unprecedented business crisis.

However, Serena Tanzania and Serena Uganda recorded good performances during the period under review.

Based on forward bookings for Nairobi Serena Hotel, Mara Serena Safari Lodge, Sweetwaters Serena Camp, Serena Uganda and Serena Tanzania, the second half of year 2014 is at encouraging levels. In addition, following the success of Serena's regionalization strategy and in an effort to diversify the Company's revenue stream, the Associate Companies, Tourism Promotion Services (Rwanda) Limited and TPS (D) Limited are expected to record a growth in contribution compared to last year.

It is worth noting that the financial benefits from our medium to long-term investments that were initially aimed at strengthening the Serena Safari circuits are, in line with Management's turnaround strategy expected to be realized from properties such as the Lake Elmenteita Serena Camp and the two properties in the Selous National Reserve (Southern Tanzania).

The results for the first half of the year are not a basis of forecasting a full year's results due to the seasonal nature of the Tourism Industry in East Africa and the fact that the business outlook for the peak season (July to October 2014) is at satisfactory levels.

The Group continues to implement refurbishment of existing properties, appropriate Human Resource Management practices and sound Corporate Social Responsibility programs that complement its long-term business strategy, just as it continues to pursue new business opportunities in line with its diversification policy and strategy that extends the marketing and sales outreach to non-traditional markets.

As has been the case previously, the Board and Management remain confident that, notwithstanding the challenging business environment, the Group has the inherent strength and business resilience to continue to focus on its long-term growth prospects, thus safeguarding its financial standing, market share and leading position in the industry.

In line with the Company's policy, the Board of Directors does not recommend the declaration of an interim dividend.

By Order of the Board

Dominic Ng'ang'a
COMPANY SECRETARY
30 July, 2014



SERENA HOTELS

SAFARI LODGES AND CAMPS

HOTELS • RESORTS